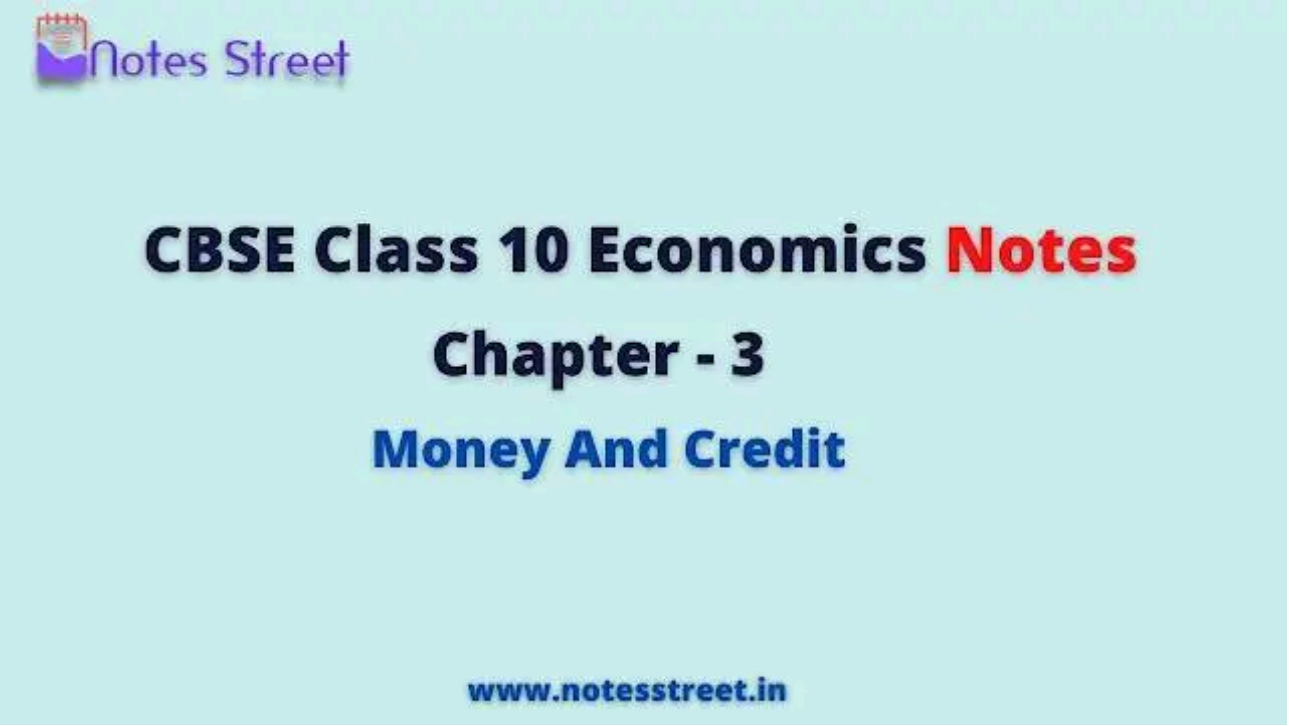

CBSE Class 10 Economics Notes Chapter - 3 Money And Credit

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BASIC CONCEPTS

- **Money as a medium of Exchange**
  (i) Both parties have to agree to sell and buy each others commodities. This is known as double coincidence of wants.
  (ii) In a barter system where goods are directly exchanged without the use of money, doublecoincidence of wants is an essential feature.
  (iii) In contrast, in an economy where money is in use, money by providing the crucial intermediatestep eliminates the need for double coincidence of wants.
  (iv) Money acts as an intermediate in the exchange process, it is called a medium of exchange.

- **Modern Forms of Money**

(i) Currency

(a) Modern forms of money include currency – paper notes and coins.

(b) In India, the Reserve Bank of India issues currency notes on behalf of the central government. As per Indian law, no other individual or organisation is allowed to issue currency

(ii) Deposits with Banks

(a) The other form in which people hold money is as deposits with banks. At a point of time, people need only some currency for their day-to-day needs.

(b) Banks accept the deposits and also pay an amount as interest on the deposits. In this way people's money is safe with the banks and it earns an amount as interest

(c) Since the deposits in the bank accounts can be withdrawn on demand, these deposits are called demand deposits.

(iii) Cheques

(a) For payment through cheque, the payer who has an account with the bank, makes out acheque for a specific amount.

(b) A cheque is a paper instructing the bank to pay a specific amount from the person's account to the person in whose name the cheque has been issued.

- **Loan Activities of Banks**

(i) There is an interesting mechanism at work here. Banks keep only a small proportion of theirdeposits as cash with themselves.

(ii) Banks use the major portion of the deposits to extend loans. There is a huge demand for loansfor various economic activities.

(iii) In this way, banks mediate between those who have surplus funds (the depositors) and those who are in need of these funds (the borrowers).

(iv) Banks charge a higher interest rate on loans than what they offer on deposits. The difference between what is charged from borrowers and what is paid to depositors is their main source of income.

- **Terms of Credit**

(i) Collateral is an asset that the borrower owns (such as land, building, vehicle, lives, live stocks, deposits with banks) and uses this as a guarantee to a lender until the loan is repaid

(ii) If the borrower fails to repay the loan, the lender has the right to sell the asset or collateral to obtain payment. Property such as land titles, deposits with banks, livestock are some common examples of collateral used for borrowing.

(iii) Interest rate, collateral and documentation requirement, and the mode of repayment together comprise what is called the terms of credit.

(iv) The terms of credit vary substantially from one credit arrangement to another. They may very depending on the nature of the lender and the borrower.

- **Formal Sector Credit in India**

(i) The various types of loans can be conveniently grouped as formal sector loans and informal sector loans.

(ii) Among the former are loans from banks and cooperatives. The informal lenders include money lenders, traders, employers, relatives and friends, etc.

(iii) The Reserve Bank of India supervises the functioning of formal sources of loans.

(iv) The RBI monitors the banks in actually maintaining cash balance. Similarly, the RBI sees that the banks give loans not just to profit-making businesses and traders but also to small cultivators, small scale industries, to small borrowers etc.

(v) There is no organisation which supervises the credit activities of lenders in the informal sector, They can lend at whatever interest rate they choose. There is no one to stop them from using unfair means to get their money back.

(vi) Cheap and affordable credit is crucial for the country's development.

(vii) It is necessary that banks and cooperatives increase their lending particularly in the rural areas, so that the dependence on informal sources of credit reduces.

- **Self-Help Groups for the Poor**

(i) The idea is to organise rural poor, in particular women, into small Self Help Groups

(SHGs) and pool (collect) their savings.

(ii) A typical SHG has 15-20 members, usually belonging to one neighbourhood, who meet and save regularly

(iii) Members can take small loans from the group itself to meet their needs. The group charges interest on these loans but this is still less than what the moneylender charges. After a year or two, if the group is regular in savings, it becomes eligible for availing loan from the bank.

(iv) Loan is sanctioned in the name of the group and is meant to create self employment opportunities for the members.

(v) Most of the important decisions regarding the savings and loan activities are taken by the group members. The group decides as regards the loans to be granted the purpose, amount interest to be charged, repayment schedule etc.

(vi) The SHGs help borrowers overcome the problem of lack of collateral. They can get timely loans for a variety of purposes and at a reasonable interest rate.

IMPORTANT TERMS

- Double Coincidence of Wants: When both the parties have to agree to sell and buy each other's commodities. This is known as the double coincidence of wants.
- Medium of Exchange: Money acts as an intermediate in the exchange processes, it is knows as the medium of exchange.
- Currency: Modern forms of money include currency – paper notes and coins.
- Deposits: A sum of money paid into a bank.
- Bank: A bank is a financial institution licensed to receive deposits and creates loans.
- Demand Deposits: People also have the provision to withdraw the money as and when they require. Since the deposits in the bank accounts can be withdrawn on demand, these deposits are known as demand deposits.
- Cheque: An order to a bank to pay a stated sum from the drawer's account, written on a specially printed form.
- Credit: The ability of a customer to obtain goods or services before payment, based on the trust that payment will be made in the future.
- Loan: A thing that is borrowed, especially a sum of money that is expected to be paid back with interest.
- Borrower: A person or organisation that takes and uses something belonging to someone else with the intention of returning it.
- Collateral: Something pledged as security for repayment of a loan, to be forfeited in the event of a default.
- Asset: An item of property owned by a person or company, regarded as having value and available to meet debts and commitments, or legacies.
- Lender: An organisation or person that lends money,
- Interest: Money paid regularly at a particular rate for the use of money lent, or delaying there payment of a debt.
- Informal Sector: Also known as 'grey economy, is the part of an economy that is neither taxed, nor monitored by any form of government. It is not accounted for in official statistics.
- Formal Sector: Sector which encompasses all jobs with normal hours and regular wages, and are recognised as income sources on which income taxes must be

paid.

- RBI: The Reserve Bank of India is India's central banking and monetary authority. RBI regulates loans offered by banks and non-banking financial institutions to government entities, businesses, and consumers and controls the availability of funds in the financial system for credit.
- Self-Help Groups: Also known as support groups, or groups of people who provide mutual support to each other. A voluntary association preferably from the same socio-economic background promotes small savings among its members

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